

and a stronger rupee reduce the trade deficit, control inflation, and provide more room for government spending on development.

In the last year, global crude prices have dropped significantly. Data from investing.com shows Brent crude futures prices have declined from \$83.3 per barrel on May 15, 2024, to \$64.53 on May 15, 2025. Meanwhile, the rupee, although weaker compared to last year, has shown signs of recovery, moving from ₹87.63 in February 2025 to around ₹85.58 currently.

The fall in oil prices has been driven by several key global factors. According to a report by S&P Global Commodity Insights, global demand for crude oil is expected to grow at a slower pace in 2025.

uncertainty, slower industrial activities, and the growing adoption of electric vehicles are dampening oil demand. Trade tensions and tariffs introduced by the US have further disrupted global supply chains.

Prathamesh Mallya, an analyst with Angel One, in a report, says that geo-political developments are also playing a role. “Iran is willing to agree to a deal with the US in exchange for the lifting of economic sanctions, potentially loosening the global crude supply-demand balance,” he says. Saudi Arabia is also backing the US-Iran talks and hoping for a positive outcome. While OPEC+ nations have been increasing supply, “an unexpected build in US crude oil inventories last week heightened investor concerns

dollar. Additionally, lower crude oil prices have helped India’s trade balance, reducing the pressure on the rupee,” it noted.

Still, some risks remain. The RBI is expected to cut interest rates in the coming months to support economic growth. While rate cuts can be good for businesses and consumers, they also reduce the appeal of Indian assets to foreign investors. “A lower interest rate environment typically reduces the attractiveness of a currency for foreign investors, potentially leading to capital outflows,” says Bajaj Broking. However, it also says that if rate cuts are accompanied by strong economic growth and controlled inflation, the rupee could remain resilient.

Looking ahead, oil prices are

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The growth forecast has been cut to 750,000 barrels per day, a downward revision of 500,000 barrels from the previous estimate of 12,50,000 barrels per day.

“Although the magnitude of a potential economic and oil demand downturn is as uncertain as the future course of US tariffs, the impact will be negative,” says Jim Burkhard, Vice President and Global Head of Crude Oil Research at S&P Global. “Initial warning signs of a potential downturn are only starting to come into view. The level of severity is now the big question,” he adds.

According to Bajaj Broking Research, several other global trends are also weighing down on crude oil prices. Rising oil production from countries outside the OPEC group, especially the US, Brazil, and Guyana, has added to global supply. At the same time, economic

about oversupply.”

For India, falling crude oil prices are a welcome relief. Bajaj Broking Research says, “A decline in crude oil prices is beneficial for India’s economy in multiple ways.” Sectors like aviation, manufacturing and paints, which rely on oil-based raw materials, can benefit from improved profit margins. Additionally, lower fuel prices give consumers more disposable income, which can boost overall demand in the economy.

The Indian rupee, which had earlier dropped to an all-time low of nearly ₹88 against the dollar, has shown signs of strength and is now trading around the ₹85-mark. Bajaj Broking Research expects the rupee to strengthen further and reach ₹84 by December 2025. “This optimism stems from improving global investor sentiment, foreign inflows into Indian equities and a weakening US

expected to stay moderate. While OPEC+ nations might try to limit supply through production cuts, the increasing output from non-OPEC producers and moderate demand growth are likely to keep prices under control. However, sudden geopolitical events or unexpected supply disruptions could still lead to short-term volatility in the market, says Bajaj Broking.

For India, this situation presents a major opportunity. If crude oil prices stay low and the rupee continues to recover, the country could benefit from lower inflation, reduced fiscal pressures and stronger economic growth. This would also create a more attractive environment for foreign investment. With a more stable rupee and cheaper oil, the Indian economy could gain momentum. **BT**

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